

3) Best Entry Point

A technical trading system should define all the rules for entry, exit, stop-loss, trailing stop-loss, how much % to risk per trade, how many trades per day, etc. In subsequent chapters, I will explain 10 profitable intraday trading systems along with complete rules and back testing results.

2 – Money Management

"Even a poor trading system could make money with good money management." - Jack D. Schwager

Money management is a process for increasing or decreasing the position size in a trade to control the risk while aiming to achieve maximum returns.

This is crucial for day traders as it sets out the strict path to follow in trading. The goal of the intelligent day trader should be to make enough money while keeping maximum drawdown small. I will cover more about money management in chapter-6.

3 – Trading Psychology

"The human side of every person is the greatest enemy of the average investor or speculator" – Jesse Livermore

Everyone who starts with intraday trading goes through four powerful emotions – greed, fear, regret, and hope.

In the beginning, a trader is not aware of the consequences of these emotions simply because he lacks experience. He learns technical analysis, money management rules but still struggles to execute his trades as per the plan.

I will discuss steps to improve trading psychology in detail in chapter-7.

4 – Execution

Execution of trades as per the plan is the real holy grail of trading. Once you develop a positive expectancy system and clear money management rules, then it's all about executions of trades in different market conditions keeping a balanced mindset (psychology).

Always remember two things about trading: